



United States
Attorney's Office
Eastern District of Tennessee



LabCorp and University Health System Agree To Pay \$388,667 To Resolve Alleged False Claims Act Violations

Thursday, January 2, 2025

For Immediate Release

U.S. Attorney's Office, Eastern District of Tennessee

KNOXVILLE, Tenn. – Laboratory Corporation of America Holdings ("LCAH"), Laboratory Corporation of America ("LCA"), Labcorp Tennessee, LLC ("LCTN") (collectively, "LabCorp"), and University Health System, Inc. ("UHS") have paid \$388,667.17 to resolve allegations that they violated the False Claims Act by delaying the submission of physician orders for certain laboratory tests by Caris Life Sciences, Inc. ("Caris") to enable improper billings to Medicare for those tests.

During the relevant timeframe, Medicare's Date of Service or "14-Day" Rule prohibited laboratories from separately billing Medicare for tests performed on specimens if a physician ordered the test within 14 days of the patient's discharge from a hospital stay either in an outpatient or inpatient setting. If the test was performed more than 14 days after discharge, then Medicare's 14-Day Rule permitted laboratories to bill Medicare directly for the test. If the test was performed within the 14-day window, the laboratory must instead bill the hospital facility.

UHS operates University of Tennessee Medical Center ("UTMC"), and LCA provides clinical laboratory services through LCTN at UTMC's outpatient laboratory. According to filed documents, between March 2012 and November 2023, UHS and LCTN caused the delay of the submission of physician orders for Caris testing, by either holding orders for submission or cancelling and resubmitting orders, until 14 days after a Medicare beneficiary's discharge from the hospital to circumvent Medicare's Date of Service Rule, which allowed the submission of claims to Medicare. The United States contends that, in doing so, UHS and LCTN violated the Date of Service Rule and knowingly caused the submission of false claims for reimbursement to Medicare. UHS and LabCorp cooperated with the United States' investigation and resolution thereof. Caris, for its part, [previously agreed to pay \\$2.8M](#) to resolve allegations in the Eastern District of New York of its related conduct on a nationwide scale.

This settlement resolves, in part, a lawsuit filed under the *qui tam*, or whistleblower, provisions of the False Claims Act, which permits private parties to sue on behalf of the government for false claims and receive a share of any recovery. The *qui tam* case is captioned *United States ex rel. Kim Vo v. Caris Life Sciences, Inc. et al.*, No. 3:20-CV-509 (E.D. Tenn.). Relator Kim Vo received \$73,846.76 of the proceeds from the settlement. UHS was not a party to the *qui tam* case but participated in the settlement.

The investigation and resolution of this matter illustrates the government's emphasis on combating health care fraud. One of the most powerful tools in this effort is the False Claims Act. Tips and complaints from all sources about potential fraud, waste, abuse, and mismanagement can be reported to HHS at 800-HHS-TIPS (800-447-8477).

Assistant U.S. Attorneys Alexa Ortiz Hadley and Jeremy S. Dykes represented the United States, with assistance from the Department of Health and Human Services' Office of Inspector General and Trial Attorney Robert C. K. Boyd of the Department of Justice's Civil Division, Fraud Section.

The claims resolved by this settlement are allegations only, and there has been no determination of liability.

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